ASIA IN FOCUS

Philippines trip notes – Policymakers and markets navigate a stagflationary energy supply shock

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We recently returned from Manila where we met policymakers and local market participants. Below are some of our key takeaways and discussion points.

1. Policymakers are closely watching inflation while being attentive to the risk of second-round effects. In the Philippines, fuel prices are largely market-determined under the Downstream Oil Industry Deregulation Act, rather than cushioned by broad pump-price subsidies, as in Indonesia or Malaysia. As such, the inflation pass-through has been quick and April CPI rose to 7.2% yoy, largely reflecting higher fuel prices. Attention remains focused on the potential risk of second-round inflation effects. Policymakers shared that experience from the 2022 episode indicates that second-round effects typically peak around two quarters after the initial shock, suggesting that a further inflation impulse may become more visible from late Q3 into early Q4. When asked whether the pass-through could be faster this cycle, policymakers sounded relatively measured. They noted that wage adjustments are only expected to begin in June and are unlikely to be outsized. In addition, the suspension of public transport fare hikes should help contain near-term pass-through pressures. Policymakers are also monitoring consumer inflation expectations closely. Although the available indicators are quarterly and therefore less timely, they referred to past research identifying the most salient components for household expectations, including food, alcoholic beverages and tobacco, and transport. Within food, the research showed that rice and sugar were particularly important items in shaping inflation perceptions.

2. Divergence in local views on growth outlook, with market participants generally more skeptical than policymakers. There was a notable divergence between policymakers and local market participants on the growth outlook. Real GDP growth slowed sharply to 2.8% yoy in Q1, raising concerns that activity could weaken further in Q2. Even before the Middle East conflict, investment and construction activities had softened since mid-2025, partly reflecting disruptions from the flood-control corruption scandal. Policymakers generally expect that investment and construction would recover in the second half of the year to support growth. They acknowledged that Q1 fiscal spending was under-executed relative to previous years, but viewed this largely as a timing issue, and expected spending to be back loaded into H2. We remain more cautious on the public and private investment rebound. Our observation of anti-corruption measures in other economies suggests that the recovery in investments usually takes time, as heightened scrutiny and monitoring often create administrative and implementation bottlenecks. Local market participants were also more cautious on the recovery in public investment in

H2 2026—which is affecting corporate sentiment and capex plans. Policymakers also expect external demand to improve in H2 on stronger electronics demand. We would be cautious in extrapolating the recent strength in South Korea and Taiwan to the Philippines, given its position in the back-end of the electronics supply chain, with greater exposure to assembly, packaging, testing and consumer electronics. The regional export upturn has been driven more by high-end semiconductor demand, where spillovers to the Philippines may be less direct. On remittances, policymakers remained constructive. While Middle East flows may soften, the region accounts for only around 20% of total remittances, while flows from other key corridors, including the US and Singapore, remain relatively steady.

3. Conservative fiscal policy approach. Perhaps in part because they view growth as likely to improve from here, policymakers appear to have a strong commitment to fiscal discipline. The tone of discussions suggested that fiscal consolidation remains the medium-term priority, making broad-based fiscal stimulus unlikely. Our impression is that spending will remain tightly managed, with support measures kept targeted and largely offset within the existing fiscal arithmetic. Since the outbreak of the Middle East conflict, the fiscal response has been restrained, focused on targeted assistance for the transport and agriculture sectors rather than broad subsidies. Importantly, the measures announced so far are budget neutral, funded through re-allocations from previously earmarked contingency provisions, alongside a mandated 20% reduction in non-essential spending across ministries. If the conflict persists, additional support could be considered, but policymakers indicated that funding would likely come from non-tax revenues rather than higher borrowing. One option discussed was higher dividends from state-owned enterprises, including potentially raising payout ratios from 50% to 75%. So far, there have been no discussions about increasing debt issuance or external borrowing. Broad tax cuts are under consideration but policymakers appear reluctant to reduce taxes unless an alternative revenue source can be identified, reflecting concerns that tax cuts are easy to implement but difficult to reverse. Although the Philippines does not operate under hard fiscal rules, policymakers remain committed to the medium-term fiscal framework and focused on the benefits of a credible fiscal posture, including lower borrowing costs, which become more important as the Philippines moves to a higher income classification and loses access to concessional lending from IFIs.

4. Recent political uncertainty a further growth headwind. Our visit coincided with a dramatic series of events at the Philippine Senate, which served to highlight uncertainties about the medium-term political and policy outlook. The uneasy alliance between Ferdinand Marcos Jr. and Sara Duterte that brought them to power in the 2022 election broke down a couple of years ago, escalating in March 2025 with the arrest of former President Rodrigo Duterte and his transfer to the International Criminal Court (ICC) in the Netherlands. More recently, the House voted to impeach Vice-President Sara Duterte, who had recently declared her intention to run in the next presidential election (the next Philippines election is scheduled for May 2028; presidents are not eligible for re-election). This week's transfer of the impeachment case to the Senate appears to have triggered a broader political escalation. Senator Ronald dela Rosa, who was chief of national police in the Duterte administration and faces an arrest warrant from the ICC, returned to the Senate after months of absence to participate in a leadership vote that installed Alan Peter Cayetano as Senate President, with potential implications for the timing and outcome of the impeachment trial. Around the same time, an ICC arrest warrant against Senator dela Rosa was unsealed, and he temporarily sought refuge inside the Senate. While we take no view on the 2028 election, this series of events raises uncertainty and is likely to be a negative for inbound investment in the short term. Our Portfolio Strategy team downgraded the Philippines equity market to underweight in March, and local equities are down on the week (and year).

5. More monetary policy tightening ahead… Bangko Sentral ng Pilipinas (BSP) was an early mover in response to the Middle East energy supply shock, implementing a 25bp rate hike in April. The market participants that we met appear relatively hawkish on the tightening path, with all expecting at least two hikes and some suggesting the policy rate could reach as high as 5.50% to 6.00% (versus 4.50% currently), mainly due to elevated inflation. We are more cautious on growth than both policymakers and much of the private sector, forecasting 2026 GDP growth of 3.5%, below consensus expectations of above 4%. We therefore expect a more measured tightening cycle, with two additional hikes: one in June and another in Q3, though we do see risks as skewed towards more rather than fewer hikes.

6. …with market speculating about the possibility of a faster pace. Some local market participants pointed to a subtle shift in BSP communication as one factor behind discussion of a possible off-cycle move. Following the April CPI print, the BSP issued its usual inflation statement. However, after inflation surprised materially to the upside, a second statement was released just hours later, which participants viewed as more forceful in tone. In the initial statement, the BSP said it was committed to fulfilling its price-stability mandate and would take the “necessary actions” to ensure inflation returns to the 3% target “within a reasonable time.” The subsequent statement strengthened the language, saying the BSP stood ready to take “all necessary monetary actions” to ensure inflation returns to target, while omitting the phrase “within a reasonable time.” This change in wording has fueled local market discussion of a possible off-cycle policy move. Participants also noted that this risk is elevated given the BSP’s decision to convene an off-cycle meeting in March 2026, even though the outcome was ultimately a rate hold. If the BSP were to opt for an off-cycle hike, we think the most likely window would be the last two weeks of May. There is a risk that a 50bp rate hike could be implemented, although this is not our base case (and we did not have the impression it was the base case of market participants we spoke to).

7. FX market implications. The PHP has been the most underperforming currency in EM Asia since the start of the Middle East conflict, followed by INR and THB. This is intuitive, as our prior analysis shows that the Philippines, India, and Thailand are the most heavily exposed Asian economies to higher energy prices from a growth, current account, and inflation perspective. Most Asian central banks have seen a drawdown in reserves since the start of the war. The Philippines’ latest gross FX reserves for April were USD 104bn versus USD 113bn at the end of February. We note that the decline in FX reserves (as a percentage of GDP) in the Philippines was among the highest in the region. Our commodities team recently refreshed their oil forecasts and, in their baseline scenario—where flows through the Strait of Hormuz fully recover by the end of June (with 0.5mb/d of permanent reduction in capacity)—they expect Brent crude oil prices to end the year at around USD 90/bbl, slightly above forwards. In more adverse scenarios, our commodities team expects oil prices to settle at higher levels by year-end. Even with oil at USD 90/bbl, we think this remains somewhat adverse for the PHP, given that the Philippines is a heavy net importer of energy and is not part of the high-end tech supply chain (which should offer a buffer for related currencies). The combination of weak growth and current account outlook underpins our bearish view on the PHP, which we expect to underperform versus NJA peers.

8. Rates market implications. The PHP bond curve has already sold off significantly by 100bp (front-end) to 180bps (long-end) since the start of the war, reflecting the inflation surge and a more hawkish outlook on the BSP. The 2Y government yield is around 6%, which is 150bp above the policy rate (4.50%), indicating that sharp rate hike expectations are priced into the front end of the curve. Although the curve suggests that the market is pricing in more hikes than our current forecast (we expect another 50bp), we think there is still scope for the government bond yield curve to shift higher (if inflation continues to print higher), even if not all of the rate hikes priced in fully materialize. In terms of curve shape, the 2/10Y spread is around 160bps compared to around 95bps pre-war. We think there is scope for the curve to bear flatten, as the front end should be more sensitive to higher inflation prints and/or shifts in rate hike expectations, while the long end is less vulnerable as we expect local bond supply to remain stable (since the government is currently not planning an increase in debt financing). In the event of a swift resolution to the Middle East conflict and a sharp fall in oil prices, we think the PHP government bond yield curve could bull steepen, as rate hike expectations are unwound, although we note that this is not our base case scenario for oil prices. Meanwhile, PHP local bonds will be included in the GBI-EM Global Diversified Index on January 29, 2027. However, given the current sentiment and target index weight of just 1.78%, we do not expect there to be any significant pre-positioning for index inclusion in the near term.

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